Number		
2(a)(i)	**Award mark as indicated** $12 000 **(1)**	**(1)**

Question Number	Answer	Mark
2(a)(ii)	**Award marks as indicated.**	**(15)**

Thelma
Statement of Financial Position at 31 December 2023

	$	$
Assets		
Non-current assets		
Motor vehicles		17 600**(1)**
Current assets		
Inventory	14 568	
Trade receivables	2 167	
Other receivables	200**(1)**	
Cash in hand	890	
		17 825**(1)**
Total assets		35 425**(1of)**
Equity and liabilities		
Equity		
At 1 January 2023	12 000**(1of)**	
Additional capital	10 000 **(1)**	
Profit for the year	5 135 **(1)**	
Drawings	(4 800) **(1)**	
Total equity		22 335 **(1of)**
Non-current liabilities		
Bank loan (2028)		5 000**(1)**
Current liabilities		
Bank loan (2024)	3 000**(1)**	
Bank overdraft	2 198**(1)**	
Trade payables	2 325	
Other payables	567**(1)**	
		8 090**(1)**
Total liabilities		13 090
Total equity and liabilities		35 425**(1of)**

Type MS · Liquidity and working capital

Answer 1 of 15 · Question 2 part c · 5 marks

2024 JUN · Paper 02 · extract 2 of 2 · find part c in this mark scheme extract

Question Number	Answer	Mark
2(b)	**Award 1 mark for identification and 1 for development for each reason.** **Sample answer** A business should maintain full accounting records to prepare financial statements more frequently **(1)** as the information required will be readily available **(1)** It will help the business owners to improve their decision making **(1)** as the financial information will be more accurate and up to date **(1)** **Accept any other appropriate responses**	**(4)**

Question Number	Answer	Mark
2(c)	**Award up to 2 marks for a discussion on the meaning of each individual ratio.** **Up to 2 marks for the implication for their credit suppliers.** **Award 1 mark for a conclusion**. **Sample answer** The current ratio indicates that they are just able to cover their short-term debts **(1)** whereas their quick ratio indicates that they are below the ideal ratio of 1:1. **(1)** The implication of this for a credit supplier is that the business may experience some difficulty in meeting its short-term debts **(1).** This will have a negative effect on the supplier who may stop supplying goods to the supplier until debts are paid. **(1)** The liquidity of the business has worsened over the two years **(1)** which is evidenced by the reduction in both ratios. **Accept any other appropriate responses**	**(5)**

TOTAL FOR QUESTION 2 = 25 MARKS

Type MS · Liquidity and working capital

Answer 2 of 15 · Question 1 part d · 5 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 3 · find part d in this mark scheme extract

1(a) **Award marks as indicated**

Stakeholder	Interest
Suppliers **(1)**	Payment of outstanding amounts **(1)**
Providers of external finance **(1)**	To ensure that repayments will be made **(1)**
Customers **(1)**	To check on continuity of supply **(1)**
Government **(1)**	To monitor profit for tax purposes **(1)**
Investors **(1)**	To check the security of their investment **(1)**
Owner **(1)**	To check whether the business is making profits **(1)**

Accept any other appropriate responses. **(4)**

Question number	Answer	Mark
1(b)(i)	**Award marks as indicated**	

$53 800 **(6)** W

W

	$
47 600 **(1)**	
4 400 **(1)**	
(3 800) **(1)**	
3 600 **(1)**	
2 000 **(1)**	
53 800 **(1of)**	

OR

$53 800 **(6)** W

W

Balance b/d	3 800 **(1)**	Cash book	47 600 **(1)**
Credit sales	48 200	Balance c/d	4 400 **(1)**
	52 000		52 000

$48 200 + $3 600 **(1)** + 2 000 **(1)** = $53 800 **(1of)** **(6)**

Type MS · Liquidity and working capital

Answer 2 of 15 · Question 1 part d · 5 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 3 · find part d in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(b)(ii)</td><td>
Award marks as indicated

$37 900 (4) W
W
$
38 200 (1)
1 600 (1)
(1 900) (1)
37 900 (1of)

OR

$37 900 (4) W
W
<table>
<tr><td>Cash book</td><td>38 200 (1)</td><td>Balance b/d</td><td>1 900 (1)</td></tr>
<tr><td>Balance c/d</td><td>1 600 (1)</td><td>Purchases</td><td>37 900 (1of)</td></tr>
<tr><td></td><td>39 800</td><td></td><td>39 800</td></tr>
</table>
</td><td>(4)</td></tr>
</table>

Type MS · Liquidity and working capital

Answer 2 of 15 · Question 1 part d · 5 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 3 · find part d in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(c)</td><td>Award marks as shown.
Award 1 mark for all correct labels.

Abel
Income statement for the year ended
31 March 2019
<table>
<tr><th></th><th>$</th><th>$</th></tr>
<tr><td>Revenue</td><td></td><td>53 800 (1of)</td></tr>
<tr><td>Cost of sales</td><td></td><td></td></tr>
<tr><td>Opening inventory</td><td>8 600 (1)</td><td></td></tr>
<tr><td>Purchases</td><td>37 900(1of)</td><td></td></tr>
<tr><td></td><td>46 500</td><td></td></tr>
<tr><td>Closing inventory</td><td>(9 000) (1)</td><td></td></tr>
<tr><td></td><td></td><td>(37 500)</td></tr>
<tr><td>Gross profit</td><td></td><td>16 300 (1of)</td></tr>
</table></td><td>(6)</td></tr>
</table>

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(d)</td><td>Award up to 4 marks for comments on the change in liquidity and 1 mark for overall evaluation.

Sample answer

Over the year liquidity has deteriorated (1) though both ratios are still satisfactory (1).

Current (working capital) ratio indicates that the business was able to pay off its short-term liabilities in both years (1).

Liquid (acid test) ratio indicates that the business may have difficulty paying off its immediate debts without having to sell inventory (1).

Abel must take appropriate steps to improve his liquidity (1).</td><td>(5)</td></tr>
</table>

(TOTAL FOR QUESTION 1 = 25 marks)

Type MS · Liquidity and working capital

Answer 3 of 15 · Question 1 part f.ii · 5 marks

2020 JAN · Paper 02 · extract 1 of 2 · find part f.ii in this mark scheme extract

1(a)	**Award marks as indicated.** $68 400 **(3) W** **W** $109 100 **(1)**-$40 700 **(1)** = $68 400 **(1of)**	**(3)**

Question number	Answer	Mark
1(b)	**Award marks as indicated.** **Award one mark for all correct labels.**	**(6)**

Mia
Income statement for the year ended 31 December 2019

	$	$	
Revenue		210 000	**(1)**
Cost of sales			
Opening inventory	20 000		
Purchases	155 000		**(1)**
Goods for own use	(3 000)		**(1)**
Closing inventory	(25 000)		
		(147 000)	**(1)**
Gross profit		63 000	**(1of)**

Question number	Answer	Mark
1(c)	**Award marks as indicated.** **Award one mark for all correct labels.**	**(5)**

Mia
Statement of financial Position at 31 December 2019

	$	
Equity		
Equity at 1 January	68 400	
Additional equity	10 000	**(1)**
Profit for the year	21 000	**(1)**
Drawings	(18 150)	**(1)**
Total equity	81 250	**(1of)**

Type MS · Liquidity and working capital

Answer 3 of 15 · Question 1 part f.ii · 5 marks

2020 JAN · Paper 02 · extract 2 of 2 · find part f.ii in this mark scheme extract

Question number	Answer	Mark
1(d)	**Award 1 mark for each correct answer up to a maximum of 2 marks.** Physical deterioration/ wear and tear/usage/rust/erosion/rot and decay **(1)** Economic reasons/obsolescence **(1)** Passage of time/time factor **(1)** Depletion **(1)**	**(2)**

Question number	Answer	Mark
1(e)	**Award 1 mark for each correct answer up to a maximum of 2 marks.** Accruals **(1)** Prudence **(1)** Consistency **(1)**	**(2)**

Question number	Answer	Mark
1(f) (i)	**Award 1 mark for each correct answer.**	**(2)**

Ratio	Formula
current (working capital)	Current assets / Current liabilities **(1)**
liquid (acid test)	Current assets – inventory / Current liabilities **(1)**

Question number	Answer	Mark
1(f) (ii)	**Award 1 mark for a general statement regarding the change in liquidity over the year. Further 3 marks for discussion on both ratios and the final 1 mark for a conclusion.** **Sample answer:** The liquidity of the business has declined **(1)** over the year which is evidenced by the reduction in both ratios. The current ratio indicates that the business can pay its short-term debts **(1).** However, the acid test ratio indicates that the business will struggle to pay its short-term debts from its liquid assets **(1)** which is due to the business holding too much inventory **(1)**. In order to improve liquidity, the business needs to convert inventory into cash quicker to improve the bank balance **(1)**.	**(5)**

(Total for Question 1 = 25 marks)

Type MS · Liquidity and working capital

Answer 4 of 15 · Question 2 part d.i · 4 marks

2020 NOV · Paper 02 · extract 1 of 4 · find part d.i in this mark scheme extract

2 (a) **Award marks as indicated with label.**

Hyat Manufacturing account for the year ended 31 December 2019		
	$	**$**
Prime cost		18 750
Factory overheads		
Depreciation - factory machinery	5 120 **(1)**	
Rent, rates and power	4 500 **(1)**	
Wages	15 250 **(1)**	
		24 870
		43 620
Opening work in progress	1 370 **(1)**	
Closing work in progress	(1 450)**(1)**	
		(80)
Production cost		43 540 **(1of)**

(6)

Type MS · Liquidity and working capital

Answer 4 of 15 · Question 2 part d.i · 4 marks

2020 NOV · Paper 02 · extract 2 of 4 · find part d.i in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2 (b)</td><td>Award marks as indicated with label.

<table>
<tr><th colspan="3">Hyat
Income statement for the year ended 31 December 2019</th></tr>
<tr><td></td><td>$</td><td><b>$</td></tr>
<tr><td>Revenue</td><td></td><td>68 000 (1)</td></tr>
<tr><td>Cost of sales</td><td></td><td></td></tr>
<tr><td>Opening inventory</td><td>4 730</td><td></td></tr>
<tr><td>Cost of production</td><td>43 540 (1of)</td><td></td></tr>
<tr><td>Closing inventory</td><td>(5 180) (1fb)</td><td></td></tr>
<tr><td></td><td></td><td>(43 090) (1of)</td></tr>
<tr><td>Gross profit</td><td></td><td>24 910 (1of)</td></tr>
<tr><td>Expenses</td><td></td><td></td></tr>
<tr><td>Administration expenses</td><td>11 725 (1)</td><td></td></tr>
<tr><td>Rent, rates and power</td><td>1 500 (1)</td><td></td></tr>
<tr><td>Wages</td><td>5 000 (1)</td><td></td></tr>
<tr><td></td><td></td><td>(18 225)</td></tr>
<tr><td>Profit for the year</td><td></td><td>6 685 (1of)</td></tr>
</table>
</td><td>(9)</td></tr>
</table>

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2 (c)</td><td>Award 1 mark for identifying the accruals concept and 1 mark for application.

For example
To comply with the accruals/matching concept (1) by matching revenues earned with the expenses incurred during the same period (1).</td><td>(2)</td></tr>
</table>

Type MS · Liquidity and working capital

Answer 4 of 15 · Question 2 part d.i · 4 marks

2020 NOV · Paper 02 · extract 3 of 4 · find part d.i in this mark scheme extract

Question Number	Answer	Mark
2 (d) (i)	**Award 1 mark for an introduction and up to 3 marks for development.** **For example** Current (working capital) ratio has not changed however the Liquid (acid test) ratio has deteriorated **(1).** The business will struggle to pay its short-term liabilities **(1)** with its liquid assets **(1)** as the business is holding more inventory compared to last year **(1).**	**(4)**

Question Number	Answer	Mark
2 (d) (ii)	**Award mark as indicated.** No **(1)**	**(1)**

Question number	Answer	Mark
2 (d) (iii)	**Award 1 mark for identification of an improvement and up to 2 marks for justification.** **For example** Negotiate better credit terms with suppliers **(1)** which will provide extra time to collect money from the customers **(1)** before paying suppliers **(1).**	**(3)**

Type MS · Liquidity and working capital

Answer 4 of 15 · Question 2 part d.i · 4 marks

2020 NOV · Paper 02 · extract 4 of 4 · find part d.i in this mark scheme extract

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Type MS · Liquidity and working capital

Answer 5 of 15 · Question 2 part d.ii · 1 mark

2020 NOV · Paper 02 · extract 1 of 4 · find part d.ii in this mark scheme extract

2 (a) **Award marks as indicated with label.**

Hyat Manufacturing account for the year ended 31 December 2019		
	$	**$**
Prime cost		18 750
Factory overheads		
Depreciation - factory machinery	5 120 **(1)**	
Rent, rates and power	4 500 **(1)**	
Wages	15 250 **(1)**	
		24 870
		43 620
Opening work in progress	1 370 **(1)**	
Closing work in progress	(1 450)**(1)**	
		(80)
Production cost		43 540 **(1of)**

(6)

Type MS · Liquidity and working capital

Answer 5 of 15 · Question 2 part d.ii · 1 mark

2020 NOV · Paper 02 · extract 2 of 4 · find part d.ii in this mark scheme extract

Question Number	Answer	Mark
2 (b)	**Award marks as indicated with label.**	**(9)**

Hyat
Income statement for the year ended 31 December 2019

	$	$
Revenue		68 000 **(1)**
Cost of sales		
Opening inventory	4 730	
Cost of production	43 540 **(1of)**	
Closing inventory	(5 180) **(1fb)**	
		(43 090) **(1of)**
Gross profit		24 910 **(1of)**
Expenses		
Administration expenses	11 725 **(1)**	
Rent, rates and power	1 500 **(1)**	
Wages	5 000 **(1)**	
		(18 225)
Profit for the year		6 685 **(1of)**

Question Number	Answer	Mark
2 (c)	**Award 1 mark for identifying the accruals concept and 1 mark for application.** **For example** To comply with the accruals/matching concept **(1)** by matching revenues earned with the expenses incurred during the same period **(1).**	**(2)**

Type MS · Liquidity and working capital

Answer 5 of 15 · Question 2 part d.ii · 1 mark

2020 NOV · Paper 02 · extract 3 of 4 · find part d.ii in this mark scheme extract

Question Number	Answer	Mark
2 (d) (i)	**Award 1 mark for an introduction and up to 3 marks for development.** **For example** Current (working capital) ratio has not changed however the Liquid (acid test) ratio has deteriorated **(1).** The business will struggle to pay its short-term liabilities **(1)** with its liquid assets **(1)** as the business is holding more inventory compared to last year **(1).**	**(4)**

Question Number	Answer	Mark
2 (d) (ii)	**Award mark as indicated.** No **(1)**	**(1)**

Question number	Answer	Mark
2 (d) (iii)	**Award 1 mark for identification of an improvement and up to 2 marks for justification.** **For example** Negotiate better credit terms with suppliers **(1)** which will provide extra time to collect money from the customers **(1)** before paying suppliers **(1).**	**(3)**

Type MS · Liquidity and working capital

Answer 5 of 15 · Question 2 part d.ii · 1 mark

2020 NOV · Paper 02 · extract 4 of 4 · find part d.ii in this mark scheme extract

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Type MS · Liquidity and working capital

Answer 6 of 15 · Question 1 part c · 5 marks

2021 NOV · Paper 02 · extract 1 of 3 · find part c in this mark scheme extract

1(a) **Award marks as indicated.**

Thomas Income statement for the year ended 31 March 2021			
	$	$	
Revenue		425 000	**(1)**
Cost of sales			
Opening inventory - finished goods	27 500		
Production cost	300 000		**(1)**
Closing inventory - finished goods	(30 000)		**(1)**
		(297 500)	**(1)**
Gross profit		127 500	**(1of)**
Expenses			
Administrative expenses	40 000		**(1)**
Carriage outwards	2 745		**(1)**
Depreciation charge-office equipment	3 200		**(1)**
Provision for irrecoverable debts	500		**(1)**
Office rent	27 000		**(1)**
		(73 445)	
Profit for the year		54 055	**(1of)**

(11)

Type MS · Liquidity and working capital

Answer 6 of 15 · Question 1 part c · 5 marks

2021 NOV · Paper 02 · extract 2 of 3 · find part c in this mark scheme extract

Question number	Answer	Mark
1(b)	**Award marks as indicated.**	(9)

Thomas
Statement of financial Position at 31 March 2021

	$	$	$
Non - current assets	Cost	Accumulated depreciation	Carrying value
Plant and machinery	200 000	97 600	102 400 **(1)**
Office equipment	25 000	12 200	12 800 **(1)**
	225 000	109 800	115 200 **(1of)**
Current assets			
Inventories Raw materials Work in progress Finished goods	 25 000 11 000 30 000	 66 000 **(1)**	
Trade receivables	60 000 **(1)**		
Provision for irrecoverable debts	(3 000)		
		57 000 **(1)**	
Other receivables		5 000 **(1)**	
Cash in hand		800 **(1)**	
			128 800
Total Assets			244 000 **(1of)**

Type MS · Liquidity and working capital

Answer 6 of 15 · Question 1 part c · 5 marks

2021 NOV · Paper 02 · extract 3 of 3 · find part c in this mark scheme extract

Question number	Answer	Mark
1(c)	**Award up to 2 marks for the evaluation of each ratio.** **Award 1 mark for overall conclusion.** **Sample answer** The current ratio has **improved** above the benchmark of 2:1 **(1)** indicating that he can **meet his short term debts** as they fall due **(1)** The liquid (acid test) ratio has also **improved** above the benchmark of 1:1 **(1)** indicating that he can meet his short term debts as they fall due **without the need to sell his inventory (1)** Yes, Thomas's statement is correct **(1)** **Accept any other appropriate responses**	**(5)**

(Total for Question 1 = 25 marks)

Type MS · Liquidity and working capital

Answer 7 of 15 · Question 2 part c.ii · 5 marks

2022 JUN · Paper 02 · extract 1 of 3 · find part c.ii in this mark scheme extract

2(a) **Award marks as indicated.**

Carl and Ming

Appropriation account for the year ended 31 March 2022

	$	$
Draft profit for the year		42 140
Bank loan interest		(250) **(1)**
Depreciation charge		(1 500) **(1)**
Updated profit for the year		40 390
Interest on drawings		
Carl	2 160 **(1)**	
Ming	2 340 **(1)**	
		4 500
Interest on capital		
Carl	(6 000) **(1)**	
Ming	(4 000) **(1)**	
		(10 000)
Salary Ming		(18 000) **(1)**
Profit available for distribution		16 890
Share of profit		
Carl	**(1of fb)**	8 445
Ming		8 445
		16 890

(8)

Type MS · Liquidity and working capital

Answer 7 of 15 · Question 2 part c.ii · 5 marks

2022 JUN · Paper 02 · extract 2 of 3 · find part c.ii in this mark scheme extract

Question number	Answer	Mark
2(b)(i)	**Award marks for each correct date, detail and amount in combination as indicated.**	(8)

Current Account — Ming

Date	Details	$	Date	Details	$
31 March 2022	Drawings	26 000 **(1)**	1 April 2021	Balance b/d	900 **(1)**
	Appropriation/ Interest on drawings	2 340 **(1of)**	31 March 2022	Appropriation/ Interest on capital	4 000 **(1of)**
	Balance c/d	3 005		Appropriation/ Salary	18 000 **(1)**
				Appropriation/ Share of profit	8 445 **(2/1of)**
		31 345			31 345
			1 April 2022	Balance b/d	3 005 **(1of)**

Question number	Answer	Mark
2(b)(ii)	**Award mark as indicated.** The amount owed by the partnership to the partner **(1)**. **Accept any other appropriate responses.**	**(1)**

Question number	Answer	Mark
2(b)(iii)	**Award mark as indicated.** The partner may have taken more money than allowed **(1)**. **Accept any other appropriate responses.**	**(1)**

Type MS · Liquidity and working capital

Answer 7 of 15 · Question 2 part c.ii · 5 marks

2022 JUN · Paper 02 · extract 3 of 3 · find part c.ii in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(c)(i)</td><td>Award marks as indicated.
<table>
<tr><th>Ratio</th><th>Formula</th></tr>
<tr><td>Current (working capital)</td><td>Current assets
Current liabilities
(1)</td></tr>
<tr><td>Liquid (acid test)</td><td>(Current assets – inventory)
Current liabilities
(1)</td></tr>
</table></td><td>(2)</td></tr>
</table>

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(c)(ii)</td><td>Award 1 mark for analysis of each ratio, 1 mark for development of each ratio and 1 mark for overall conclusion.

Sample answer

Although the current (working capital) ratio has deteriorated below the benchmark of 2:1(1) the business can still pay their current liabilities as was the case last year(1).

The liquid (acid test) ratio has improved above the benchmark of 1:1 (1) indicating that the business can meet short-term debts as they become due, without the need to sell inventory (1).

Therefore, the partners are correct that the liquidity of the business has improved (1).

Accept any other appropriate responses.</td><td>(5)</td></tr>
</table>

(Total for Question 2 = 25 marks)

Type MS · Liquidity and working capital

Answer 8 of 15 · Question 2 part d · 5 marks

2023 JAN · Paper 02 · extract 1 of 3 · find part d in this mark scheme extract

2(a)(i)	**Award marks as indicated.** $178 750 **(3) W** **W** **$** 167 650 (21 400) **(1)** 32 500 **(1)** 178 750 **(1of)**	**(3)**

Question number	Answer	Mark
2(a)(ii)	**Award marks as indicated.** $90 000 **(3) W** **W** **$** 92 750 (15 500) **(1)** 12 750 **(1)** 90 000 **(1of)**	**(3)**

Type MS · Liquidity and working capital

Answer 8 of 15 · Question 2 part d · 5 marks

2023 JAN · Paper 02 · extract 2 of 3 · find part d in this mark scheme extract

Question number	Answer	Mark
2(b)	**Award marks as indicated with labels.**	(12)

Yamini
Income statement for the year ended 30 September 2022

	$	$	
Revenue		178 750	**(1of)**
Cost of sales			
Opening inventory	25 750		**(1)**
Purchases	90 000		**(1of)**
Closing inventory	(27 460)		**(1)**
		(88 290)	**(1)**
Gross profit		90 460	**(1of)**
Other income			
Interest received		110	**(1)**
		90 570	
Expenses			
Depreciation charge	8 000		**(1)**
Office expenses	26 350		**(1)**
Wages	33 500		**(1)**
		(67 850)	**(1of)**
Profit for the year		22 720	**(1of)**

Question number	Answer	Mark
2(c)	**Award marks as indicated up to a maximum of 2 marks.** Consistency **(1)** Prudence **(1)** Accruals/matching **(1)** Materiality **(1)** Money measurement **(1)** Business entity **(1)** **Accept any other appropriate responses.**	**(2)**

Type MS · Liquidity and working capital

Answer 8 of 15 · Question 2 part d · 5 marks

2023 JAN · Paper 02 · extract 3 of 3 · find part d in this mark scheme extract

Question number	Answer	Mark
2(d)	**Award up to 4 marks for discussion on both ratios and the final 1 mark for a conclusion related to the scenario.** **Sample answer.** The current ratio has increased in 2022 , meaning it will be able to pay short-term debts as they become due **(1)**. However, the business is not making efficient use of its current assets **(1)**. The liquid (acid test) ratio has worsened in 2022, meaning the business will have difficulty paying short-term debts without selling inventory **(1).** This could result in suppliers refusing to make further supplies to the business **(1)**. Therefore the business's short-term liquidity has worsened **(1)**. **Accept any other appropriate responses.**	**(5)**

(Total for Question 2 = 25 marks)

Type MS · Liquidity and working capital

Answer 9 of 15 · Question 1 part b.i · 2 marks

2023 NOV · Paper 02 · extract 1 of 3 · find part b.i in this mark scheme extract

Number		
1(a)(i)	**Award marks as indicated.**	**(11)**

Yola
Manufacturing account for the year ended 31 March 2023

	$	$
Raw materials		
Opening inventory of raw materials	12 980	
Purchases	186 500	
Carriage inwards	1 610	
Closing inventory of raw materials	(19 170)	
Cost of raw materials consumed		181 920 **(1)**
Direct expenses/royalties		12 000 **(1)**
Direct wages		95 600 **(1)**
Prime cost		289 520 **(1)**
Overheads		
Electricity	10 500 **(1)**	
Insurance	5 600 **(1)**	
Rent	57 400 **(1)**	
Supervisor wages	37 750 **(1)**	
Depreciation – production machinery	25 100 **(1)**	136 350
		425 870
Opening inventory of work in progress	12 340	
Closing inventory of work in progress	(11 170)	1 170 **(1fb)**
Production cost		427 040 **(1)**

Type MS · Liquidity and working capital

Answer 9 of 15 · Question 1 part b.i · 2 marks

2023 NOV · Paper 02 · extract 2 of 3 · find part b.i in this mark scheme extract

Question Number	Answer	Mark
1(a)(ii)	**Award marks as indicated.**	**(9)**

Yola
Income statement for the year ended 31 March 2023

	$	$
Revenue		827 500 **(1)**
Cost of sales		
Opening inventory of finished goods	20 100	
Production cost	427 040 **(1of)**	
Closing inventory of finished goods	(37 800) **(1fb)**	
		(409 340)**(1)**
Gross profit		418 160 **(1of)**
Carriage outwards	2 390	
Electricity	4 500 **(1)**	
Insurance	2 400 **(1)**	
Wages	21 500 **(1)**	
		(30 790)
Profit for the year		387 370 **(1of)**

Type MS · Liquidity and working capital

Answer 9 of 15 · Question 1 part b.i · 2 marks

2023 NOV · Paper 02 · extract 3 of 3 · find part b.i in this mark scheme extract

Question Number	Answer	Mark
1(b)(i)	**Award 1 mark for identification and 1 mark for linked development.** The current ratio has deteriorated **(1)** indicating that Yola may find it difficult to meet short term debts as they become due **(1)** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
1(b)(ii)	**Award 1 mark for identification and up to 2 marks for limited development.** Yola may invest additional capital **(1)** which will result in current assets increasing **(1)** with no effect on current liabilities **(1)** **Accept any other appropriate responses**	**(3)**

TOTAL FOR QUESTION 1 = 25 MARKS

Type MS · Liquidity and working capital

Answer 10 of 15 · Question 2 part b.ii · 5 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 3 · find part b.ii in this mark scheme extract

Number		
2 (a)	**Award marks as indicated.**	

Bob
Statement of Financial Position at 29 February 2024

	$	$	$
Assets			
Non-current assets			
Fixtures and fittings		11 900	
Motor vehicles		15 400	
			27 300**(1)**
Current assets			
Inventory		8 531	
Trade receivables	8 490**(1)**		
Allowance for doubtful debts	(346)		
		8 144**(1)**	
Other receivables		600**(1)**	
Cash at bank		2 198	
Cash in hand		289	
			19 762**(1)**
Total assets			47062**(1of)**
Equity and liabilities			
Equity			
At 1 March 2023		30 000	
Profit for the year		8 083	
Drawings		(5 552)	
Total equity			32 531**(1)**
Non-current liabilities			
Bank loan (2028)			10 000**(1)**
Current liabilities			
Trade payables		4 320	
Other payables		211	
			4 531**(1)**
Total liabilities			14 531
Total equity and liabilities			47062**(1of)**

(10)

Type MS · Liquidity and working capital

Answer 10 of 15 · Question 2 part b.ii · 5 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 3 · find part b.ii in this mark scheme extract

Question Number	Answer	Mark
2(b)(i)	**Award marks as indicated.** **Current (working capital) ratio** Current assets/current liabilities **(1)** 4.36:1 **(1of)** **Liquid (acid test) ratio** Current assets – inventory/current liabilities **(1)** 2.48:1 **(1of)**	**(4)**

Question Number	Answer	Mark
2(b)(ii)	**Award up to 2 marks for the evaluation of each ratio.** **Award 1 mark for conclusion.** **Sample answer** **Current ratio** The current ratio indicates that the business is able to meet its short-term debts **(1)** however as the figure exceeds the benchmark of 2:1 this indicates poor management of the working capital. **(1)** **Liquid ratio** The liquid ratio indicates that the business is able to meet its short-term debts without having to sell its inventory **(1)** however the figure exceeds the benchmark of 1:1 which may indicate an excessive amount of resource tied up in either trade receivables or in the business bank account. **(1)** **Conclusion** Although both ratios indicate a positive liquidity position Bob should not be satisfied as the business needs to take action to return to the benchmark for each ratio **(1)** **Accept any other appropriate responses**	**(5)**

Type MS · Liquidity and working capital

Answer 10 of 15 · Question 2 part b.ii · 5 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 3 · find part b.ii in this mark scheme extract

Question Number	Answer	Mark
2(c)	**Award up to two marks for correct difference.** **Sample answer** Profitability refers to the ability of a business to generate income relative to its expenditure **(1)** whereas liquidity refers to the ability of a business to pay its debts **(1).** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
2(d)	**Award 1 mark for identifying the correct concept plus up to three marks for development.** **Sample answer** **Concept** Accruals/Matching **(1)** **Explanation** The accruals concept states that the revenue of an accounting period must be matched against the costs of the same period **(1)** By adjusting for other receivables and other payables a business will be able to present a more accurate view of the profit or loss for the year **(1)** and a more accurate view of the financial position of the business **(1)** **Accept any other appropriate responses**	**(4)**

TOTAL FOR QUESTION 2 = 25 MARKS

Type MS · Liquidity and working capital

Answer 11 of 15 · Question 2 part d.iii · 3 marks

2020 NOV · Paper 02 · extract 1 of 4 · find part d.iii in this mark scheme extract

2 (a) **Award marks as indicated with label.**

Hyat
Manufacturing account for the year ended 31 December 2019

	$	$
Prime cost		18 750
Factory overheads		
Depreciation - factory machinery	5 120 **(1)**	
Rent, rates and power	4 500 **(1)**	
Wages	15 250 **(1)**	
		24 870
		43 620
Opening work in progress	1 370 **(1)**	
Closing work in progress	(1 450)**(1)**	
		(80)
Production cost		43 540 **(1of)**

(6)

Type MS · Liquidity and working capital

Answer 11 of 15 · Question 2 part d.iii · 3 marks

2020 NOV · Paper 02 · extract 2 of 4 · find part d.iii in this mark scheme extract

Question Number	Answer	Mark
2 (b)	**Award marks as indicated with label.**	**(9)**

Hyat
Income statement for the year ended 31 December 2019

	$	$
Revenue		68 000 **(1)**
Cost of sales		
Opening inventory	4 730	
Cost of production	43 540 **(1of)**	
Closing inventory	(5 180) **(1fb)**	
		(43 090) **(1of)**
Gross profit		24 910 **(1of)**
Expenses		
Administration expenses	11 725 **(1)**	
Rent, rates and power	1 500 **(1)**	
Wages	5 000 **(1)**	
		(18 225)
Profit for the year		6 685 **(1of)**

Question Number	Answer	Mark
2 (c)	**Award 1 mark for identifying the accruals concept and 1 mark for application.** **For example** To comply with the accruals/matching concept **(1)** by matching revenues earned with the expenses incurred during the same period **(1).**	**(2)**

Type MS · Liquidity and working capital

Answer 11 of 15 · Question 2 part d.iii · 3 marks

2020 NOV · Paper 02 · extract 3 of 4 · find part d.iii in this mark scheme extract

Question Number	Answer	Mark
2 (d) (i)	**Award 1 mark for an introduction and up to 3 marks for development.** **For example** Current (working capital) ratio has not changed however the Liquid (acid test) ratio has deteriorated **(1).** The business will struggle to pay its short-term liabilities **(1)** with its liquid assets **(1)** as the business is holding more inventory compared to last year **(1).**	**(4)**

Question Number	Answer	Mark
2 (d) (ii)	**Award mark as indicated.** No **(1)**	**(1)**

Question number	Answer	Mark
2 (d) (iii)	**Award 1 mark for identification of an improvement and up to 2 marks for justification.** **For example** Negotiate better credit terms with suppliers **(1)** which will provide extra time to collect money from the customers **(1)** before paying suppliers **(1).**	**(3)**

Type MS · Liquidity and working capital

Answer 11 of 15 · Question 2 part d.iii · 3 marks

2020 NOV · Paper 02 · extract 4 of 4 · find part d.iii in this mark scheme extract

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Type MS · Liquidity and working capital

Answer 12 of 15 · Question 1 part b.ii · 3 marks

2023 NOV · Paper 02 · extract 1 of 3 · find part b.ii in this mark scheme extract

Number		
1(a)(i)	**Award marks as indicated.** **Yola** **Manufacturing account for the year ended 31 March 2023**	**(11)**

	$	$
Raw materials		
Opening inventory of raw materials	12 980	
Purchases	186 500	
Carriage inwards	1 610	
Closing inventory of raw materials	(19 170)	
Cost of raw materials consumed		181 920 **(1)**
Direct expenses/royalties		12 000 **(1)**
Direct wages		95 600 **(1)**
Prime cost		289 520 **(1)**
Overheads		
Electricity	10 500 **(1)**	
Insurance	5 600 **(1)**	
Rent	57 400 **(1)**	
Supervisor wages	37 750 **(1)**	
Depreciation – production machinery	25 100 **(1)**	136 350
		425 870
Opening inventory of work in progress	12 340	
Closing inventory of work in progress	(11 170)	1 170 **(1fb)**
Production cost		427 040 **(1)**

Type MS · Liquidity and working capital

Answer 12 of 15 · Question 1 part b.ii · 3 marks

2023 NOV · Paper 02 · extract 2 of 3 · find part b.ii in this mark scheme extract

Question Number	Answer	Mark
1(a)(ii)	**Award marks as indicated.**	**(9)**

Yola
Income statement for the year ended 31 March 2023

	$	$
Revenue		827 500 **(1)**
Cost of sales		
Opening inventory of finished goods	20 100	
Production cost	427 040 **(1of)**	
Closing inventory of finished goods	(37 800) **(1fb)**	
		(409 340)**(1)**
Gross profit		418 160 **(1of)**
Carriage outwards	2 390	
Electricity	4 500 **(1)**	
Insurance	2 400 **(1)**	
Wages	21 500 **(1)**	
		(30 790)
Profit for the year		387 370 **(1of)**

Type MS · Liquidity and working capital

Answer 12 of 15 · Question 1 part b.ii · 3 marks

2023 NOV · Paper 02 · extract 3 of 3 · find part b.ii in this mark scheme extract

Question Number	Answer	Mark
1(b)(i)	**Award 1 mark for identification and 1 mark for linked development.** The current ratio has deteriorated **(1)** indicating that Yola may find it difficult to meet short term debts as they become due **(1)** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
1(b)(ii)	**Award 1 mark for identification and up to 2 marks for limited development.** Yola may invest additional capital **(1)** which will result in current assets increasing **(1)** with no effect on current liabilities **(1)** **Accept any other appropriate responses**	**(3)**

TOTAL FOR QUESTION 1 = 25 MARKS

2(a)	**Award marks as indicated.** **Scenario** / **Accounting concept** Adjusting expenses for other receivables — Accruals **(1)** Creating an allowance for doubtful debts — Prudence **(1)** Recording goods taken for personal use — Business entity **(1)**	**(3)**

Question number	Answer	Mark
2(b)(i)	**Award mark as indicated** Profitability is the ability to generate profits from the activities of the business **(1).**	**(1)**

Question number	Answer	Mark
2(b)(ii)	**Award mark as indicated** Liquidity is the ability of a business to pay off its liabilities **(1).**	**(1)**

Question number	Answer	Mark

Type MS · Liquidity and working capital

Answer 13 of 15 · Question 2 part b.i · 1 mark

2019 JUN · Paper 02 · extract 2 of 4 · find part b.i in this mark scheme extract

2(c)	**Award up to 2 marks for comments on profitability and up to 2 marks for comments on liquidity and 1 mark for overall evaluation.** **Sample answer** Gross profit margin has improved indicating charging higher selling price in relation to lower/constant purchase price or cost of sales **(1)**. Profit for the year as a percentage of revenue has also improved due to better gross profit margin **(1)**. Current (working capital) ratio has improved which indicates that the business was able to pay off its short-term liabilities in both years **(1)**. Liquid (acid test) ratio has improved, which indicates that the business can pay off its short-term liabilities without having to sell inventory **(1)**. Overall profitability and liquidity of the business has improved **(1)**	**(5)**

Type MS · Liquidity and working capital

Answer 13 of 15 · Question 2 part b.i · 1 mark

2019 JUN · Paper 02 · extract 3 of 4 · find part b.i in this mark scheme extract

Question number	Indicative content	Mark
2(e)	• Partners must share the profits/losses, so they must prepare the appropriation accounts to show the share of profit/loss. • Being partners, they may be entitled to interest on capital, drawings and interest on drawings, salaries etc so they must prepare the current account to show what business owes to them and what they owe to business. • Being partners the drawings and profit share is not adjusted to the capital account so they must show the capital and current account separately in the statement of financial position. The indicative content is not exhaustive; other creditworthy material should be awarded marks as appropriate.	(6)

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1 - 2	Some understanding of the accounting principles demonstrated but explanation has not been developed adequately.
Level 2	3 - 4	Good understanding of the accounting principles demonstrated with a developed explanation but with limited evidence to support response.
Level 3	5 - 6	Excellent understanding of the accounting principles demonstrated with a well-developed explanation with sufficient evidence to fully support response.

Type MS · Liquidity and working capital

Answer 13 of 15 · Question 2 part b.i · 1 mark

2019 JUN · Paper 02 · extract 4 of 4 · find part b.i in this mark scheme extract

Question number	Answer	Mark
2(f)	**Award up to 2 marks for identification, 2 marks for development and 1 mark for conclusion.** **Sample answers** A sole trader may have limited finance/capital/resources to expand the business **(1)**, but a new partner brings in additional finance/capital/resources available to expand the business **(1)**. A sole trader may find it hard to cope with the demands of the increased business **(1)**, but a new partner will bring in additional skills/knowledge/ideas/ and share workload **(1)**. If a sole trader forms a partnership, he will lose control as all the decision are to be made collectively **(1)**, whereas at present he makes all the decisions **(1)**. If a sole trader forms a partnership, he must share the profits with the other partner **(1)**, whereas at present he takes all the profits **(1)**. Any supported decision **(1)**.	**(5)**

(TOTAL FOR QUESTION 2 = 25 marks)

2(a)	**Award marks as indicated.** **Scenario** / **Accounting concept** Adjusting expenses for other receivables / Accruals **(1)** Creating an allowance for doubtful debts / Prudence **(1)** Recording goods taken for personal use / Business entity **(1)**	**(3)**

Question number	Answer	Mark
2(b)(i)	**Award mark as indicated** Profitability is the ability to generate profits from the activities of the business **(1).**	**(1)**

Question number	Answer	Mark
2(b)(ii)	**Award mark as indicated** Liquidity is the ability of a business to pay off its liabilities **(1).**	**(1)**

Question number	Answer	Mark

Type MS · Liquidity and working capital

Answer 14 of 15 · Question 2 part b.ii · 1 mark

2019 JUN · Paper 02 · extract 2 of 4 · find part b.ii in this mark scheme extract

2(c)	**Award up to 2 marks for comments on profitability and up to 2 marks for comments on liquidity and 1 mark for overall evaluation.** **Sample answer** Gross profit margin has improved indicating charging higher selling price in relation to lower/constant purchase price or cost of sales **(1)**. Profit for the year as a percentage of revenue has also improved due to better gross profit margin **(1)**. Current (working capital) ratio has improved which indicates that the business was able to pay off its short-term liabilities in both years **(1)**. Liquid (acid test) ratio has improved, which indicates that the business can pay off its short-term liabilities without having to sell inventory **(1)**. Overall profitability and liquidity of the business has improved **(1)**	**(5)**

Type MS · Liquidity and working capital

Answer 14 of 15 · Question 2 part b.ii · 1 mark

2019 JUN · Paper 02 · extract 3 of 4 · find part b.ii in this mark scheme extract

Question number	Indicative content	Mark
2(e)	• Partners must share the profits/losses, so they must prepare the appropriation accounts to show the share of profit/loss. • Being partners, they may be entitled to interest on capital, drawings and interest on drawings, salaries etc so they must prepare the current account to show what business owes to them and what they owe to business. • Being partners the drawings and profit share is not adjusted to the capital account so they must show the capital and current account separately in the statement of financial position. The indicative content is not exhaustive; other creditworthy material should be awarded marks as appropriate.	(6)

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1 - 2	Some understanding of the accounting principles demonstrated but explanation has not been developed adequately.
Level 2	3 - 4	Good understanding of the accounting principles demonstrated with a developed explanation but with limited evidence to support response.
Level 3	5 - 6	Excellent understanding of the accounting principles demonstrated with a well-developed explanation with sufficient evidence to fully support response.

Type MS · Liquidity and working capital

Answer 14 of 15 · Question 2 part b.ii · 1 mark

2019 JUN · Paper 02 · extract 4 of 4 · find part b.ii in this mark scheme extract

Question number	Answer	Mark
2(f)	**Award up to 2 marks for identification, 2 marks for development and 1 mark for conclusion.** **Sample answers** A sole trader may have limited finance/capital/resources to expand the business **(1)**, but a new partner brings in additional finance/capital/resources available to expand the business **(1)**. A sole trader may find it hard to cope with the demands of the increased business **(1)**, but a new partner will bring in additional skills/knowledge/ideas/ and share workload **(1)**. If a sole trader forms a partnership, he will lose control as all the decision are to be made collectively **(1)**, whereas at present he makes all the decisions **(1)**. If a sole trader forms a partnership, he must share the profits with the other partner **(1)**, whereas at present he takes all the profits **(1)**. Any supported decision **(1)**.	**(5)**

(TOTAL FOR QUESTION 2 = 25 marks)

Type MS · Liquidity and working capital

Answer 15 of 15 · Question 2 part c · 2 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 3 · find part c in this mark scheme extract

2 (a) **Award marks as indicated.**

Bob
Statement of Financial Position at 29 February 2024

	$	$	$
Assets			
Non-current assets			
Fixtures and fittings		11 900	
Motor vehicles		15 400	
			27 300**(1)**
Current assets			
Inventory		8 531	
Trade receivables	8 490**(1)**		
Allowance for doubtful debts	(346)		
		8 144**(1)**	
Other receivables		600**(1)**	
Cash at bank		2 198	
Cash in hand		289	
			19 762**(1)**
Total assets			47062**(1of)**
Equity and liabilities			
Equity			
At 1 March 2023		30 000	
Profit for the year		8 083	
Drawings		(5 552)	
Total equity			32 531**(1)**
Non-current liabilities			
Bank loan (2028)			10 000**(1)**
Current liabilities			
Trade payables		4 320	
Other payables		211	
			4 531**(1)**
Total liabilities			14 531
Total equity and liabilities			47062**(1of)**

(10)

Type MS · Liquidity and working capital

Answer 15 of 15 · Question 2 part c · 2 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 3 · find part c in this mark scheme extract

Question Number	Answer	Mark
2(b)(i)	**Award marks as indicated.** **Current (working capital) ratio** Current assets/current liabilities **(1)** 4.36:1 **(1of)** **Liquid (acid test) ratio** Current assets – inventory/current liabilities **(1)** 2.48:1 **(1of)**	**(4)**

Question Number	Answer	Mark
2(b)(ii)	**Award up to 2 marks for the evaluation of each ratio.** **Award 1 mark for conclusion.** **Sample answer** **Current ratio** The current ratio indicates that the business is able to meet its short-term debts **(1)** however as the figure exceeds the benchmark of 2:1 this indicates poor management of the working capital. **(1)** **Liquid ratio** The liquid ratio indicates that the business is able to meet its short-term debts without having to sell its inventory **(1)** however the figure exceeds the benchmark of 1:1 which may indicate an excessive amount of resource tied up in either trade receivables or in the business bank account. **(1)** **Conclusion** Although both ratios indicate a positive liquidity position Bob should not be satisfied as the business needs to take action to return to the benchmark for each ratio **(1)** **Accept any other appropriate responses**	**(5)**

Type MS · Liquidity and working capital

Answer 15 of 15 · Question 2 part c · 2 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 3 · find part c in this mark scheme extract

Question Number	Answer	Mark
2(c)	**Award up to two marks for correct difference.** **Sample answer** Profitability refers to the ability of a business to generate income relative to its expenditure **(1)** whereas liquidity refers to the ability of a business to pay its debts **(1).** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
2(d)	**Award 1 mark for identifying the correct concept plus up to three marks for development.** **Sample answer** **Concept** Accruals/Matching **(1)** **Explanation** The accruals concept states that the revenue of an accounting period must be matched against the costs of the same period **(1)** By adjusting for other receivables and other payables a business will be able to present a more accurate view of the profit or loss for the year **(1)** and a more accurate view of the financial position of the business **(1)** **Accept any other appropriate responses**	**(4)**

TOTAL FOR QUESTION 2 = 25 MARKS